Investment Society
Imperial College London

Lecture 1

The Three Financial Statements

Accounting & Valuation Workshop

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Slide deck inspired by Dr. Euan Doidge and Prof. Anthony Barrett (Department of Chemistry, Imperial College London)
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Background	Model Example	Taking it further
Some context to introduce you to a concept	*A fully detailed breakdown of an example*	*Real world application of a key concept covered*

The slides are colour-coded to aid your understanding of the course and ensure that you are familiar with the demands of the content provided in each slide.

Lecture *Timeline*

We are **HERE**

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Lecture 1	Lecture 2	Lecture 3	Lecture 4
Accounting Methods and Financial Statements	***Valuation Methods and Metrics***	***Live Discounted Cash Flow Model*** *Financial Edge*	***Live Leveraged Buyout Model*** *Sortino M&A Group*

Contents

What are we covering today?

- Methods of Accounting
- Cash-based Accounting
- Accrual-based Accounting
- Financial Statements
- Balance Sheet
- Income Statement
- Cash Flow Statement

Let's begin...

Lasen Wanni Arachchige
President

Lecture 1
Accounting Methods and Financial Statements

Accounting

What do we mean by accounting?

☞ A **standard** set of rules for recording **financial** transactions

☞ All parts of society use accounting:

Individuals	To keep track of spending and savings.
Businesses	To record their costs and revenues.
Government	To monitor tax collection and expenditure.

What do we mean by accounting?

Financial Statements

Income Statement	Balance Sheet	Cash Flow Statement

- ☞ Statements created by accountants can be used by managerial team
- ☞ Typically, in the form of **quarterly** reports for CFO

- ☞ Officers use to assess company health
- ☞ Investors use to value company
- ☞ Lenders use to valuate credit risk
- ☞ Financial regulation bodies use to monitor
- ☞ Tax authorities use to assess and collect taxes
- ☞ Customers and suppliers use to assess stability

GAAP

What do we mean by GAAP?

☞ **G**enerally **A**ccepted **A**ccounting **P**rinciples have been established to standardise accounting

☞ Financial reporting standards vary by region but are generally based of **IFRS**

UK GAAP FRS

☞ **I**nternational **F**inancial **R**eporting **S**tandards is adopted by over 100 countries

US GAAP

Source: Deloitte

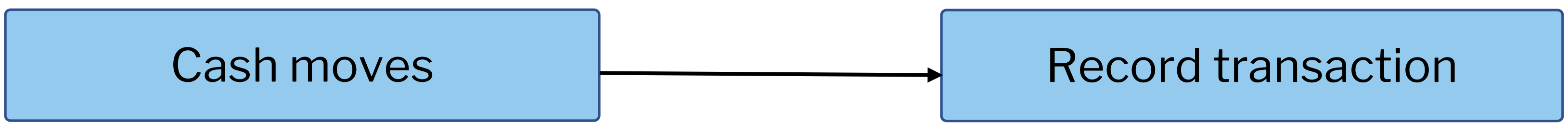
Cash-based Accounting

So what are the different types?

☞ You record transactions based on when cash is **moved** for said transaction.

☞ It is the most simple and straightforward way to track your finances.

☞ Cash-based accounting measures everything by the movement of cash.



☞ So you make money when cash comes in, and you lose money when cash goes out.

☞ **Cash Accounting** – Payment receipts are recorded during the period in which they are received and expenses are recorded in the period in which they are actually paid.

Cash-based Accounting

Let's look at an example.

Suppose we have an automobile company, QT Auto. We are selling new trucks for £10,000 each.

☞ You would record your sales in the following way, following cash-based accounting.

15th January	15th January	15th January
Sell 2 trucks	Receive £20,000 payment	Record transaction

☞ In this example QT Auto sold 2 cars on the 15th, and received the payments for them on the same day.

☞ Therefore, the transaction is recorded on the 15th, the day the cash is received.

Cash-based Accounting

What about this example?

But now suppose you sold some trucks and your customer cannot pay you for a few days.

☞ You would **not** put that transaction in for today, since you haven't received the cash for the sale yet.

15th January	20th January	20th January
Sell 2 trucks	Receive £20,000 payment	Record transaction

☞ No difference in value between the 15th and 20th even though you made a sale!

☞ You would then record this transaction on 20th January when you receive the cash for the transaction.

Accrual-based Accounting

What's the other option?

- Accrual accounting more accurately reflects the business's operations.

- This is because it looks at when the business is **completing activities**, and not when it receives or spends cash for them. It separates the delivery of a product and the receipt of cash.

- Because of this accrual-based accounting is more **commonly used** in the world of finance.

Transaction happens → Record transaction

- **Accrual Accounting** – Revenues and expenses are recorded when a **transaction occurs** rather than when the money is exchanged.

- But what happens to the cash we are owed!?

Accrual-based Accounting

What's the other option?

☞ **Accrual Accounting** – Revenues and expenses are recorded when a **transaction occurs** rather than when the money is exchanged.

Transaction happens → Record transaction

☞ Accrual accounting is based on **two** main principles:

Revenue Recognition	**Matching Principle**
Revenues must be recorded when **earned** and **measurable**.	**Costs** associated with making a product must be recorded during the **same period** as the **revenue** generated from that product.
	This typically refers to **Cost of Goods Sold (COGS)** as opposed to **operating expenses.**

Accrual-based Accounting

Going back to our automobile company, QT Auto.

Now suppose you used the accrual method of accounting instead.

☞ Then that transaction we made on the 15th would still be recorded **on the 15th.**

15th January — Sell 2 cars

15th January — Record Transaction

20th January — Receive £20,000 payment

☞ Now there is a **change** in this record even though we didn't receive any cash that day!

☞ We **accrue** activities when they happen over time, not just when we receive the payments all at once.

Accrual-based Accounting

Let's look at another example, this time for a book store QTstones.

Breaking down the total transaction into its individual parts

8th January	15th January	16th January	20th January
Purchase book from publisher	Receives credit card order for book	Book is shipped to customer	Receives £20 payment

☞ When do we record the transaction?

☞ Revenue is recognised when it is **earned** and from the **matching principle**, expenses are also recorded in the same period.

Cash vs Accrual

So which is better?

Cash-based	Accrual-based
Advantages	
Cannot go into **debt**, only pay for costs when you have the cash.	More reflective of what happens on a day-today basis.
Easier to track movements of cash.	Easier to track business activities.
Disadvantages	
Could be more difficult and slower to grow the business.	Adds potential complexity to tracking a firm's activities.
Not a good indicator of how productive a business is.	Enables firms to act on **credit**, could be dangerous if not done correctly.

The Accounting Equation

What is the accounting equation?

☞ The **principle** that a company's **total assets** are equal to the sum of its **total liabilities** and **total shareholders' equity.**

Total Assets = **Total Liabilities** + **Total Shareholders' Equity**

☞ Foundation of double entry bookkeeping

☞ Ensures the balance sheet remains ***balanced***

Asset

What is an asset?

Total Assets	=	Total Liabilities	+	Total Shareholders' Equity

☞ **Asset** – a resource with economic value that an individual corporation, or country owns or controls with the expectation that it will provide a future benefit.

Increasing future ability to **generate more money**	**Enhances** future ability to **reduce costs**

Asset

What are the different types of assets?

Total Assets = Total Liabilities + Total Shareholders' Equity

☞ **Asset** – a resource with economic value that an individual corporation, or country owns or controls with the expectation that it will provide a future benefit.

Current Asset

Short term – consumed or converted within **1 year**

Cash – money in the form of a currency (coins, notes)

Inventory

Cash equivalents – investments that can be readily converted into cash (marketable securities)

Accounts receivable – money owed to the company

Asset

What are the different types of assets?

Total Assets	=	Total Liabilities	+	Total Shareholders' Equity

☞ **Asset** – a resource with economic value that an individual corporation, or country owns or controls with the expectation that it will provide a future benefit.

Fixed Asset

Long term – expected life over **1 year**	e.g., buildings, machinery, land, office equipment furniture, vehicles

Property , **P**lant , and **E**quipment (PP&E) ~ largest portion

Asset

What are the different types of assets?

Total Assets = Total Liabilities + Total Shareholders' Equity

☞ **Asset** – a resource with economic value that an individual corporation, or country owns or controls with the expectation that it will provide a future benefit.

Financial Asset

Investments in assets and securities of other institutions

Valued according to the underlying asset/security and market supply and demand

Includes stocks, sovereign and corporate bonds, preferred equity

Subjective value

Don't tend to make up a large part of assets

Asset

What are the different types of assets?

Total Assets = Total Liabilities + Total Shareholders' Equity

☞ **Asset** – a resource with economic value that an individual corporation, or country owns or controls with the expectation that it will provide a future benefit.

Intangible Asset

Economic resource that has **no physical presence**

Firms with high R&D have high valued intangible assets

Patents, trademarks, copyrights, and goodwill

☞ **Goodwill** – when a company acquires another company for a price greater than the fair market value of assets, additional payment is goodwill (reflects brand reputation, consumer loyalty).

Asset

Let's look at an example

Total Assets = Total Liabilities + Total Shareholders' Equity

☞ **Asset** – a resource with economic value that an individual corporation, or country owns or controls with the expectation that it will provide a future benefit.

Assets		
Current Assets		
Cash	100	
Accounts receivable	20	
Inventory	30	
Short-term investments	-	
Total current assets		150
Non- current Assets		
Long-term investments	200	
Property, plant, and equipment	50	
Intangible assets	50	
Total non-current assets		300
Other Assets		
Deferred income tax	20	
Other	-	
Total Other Assets		20
Total Assets		**470**

☞ **Accounts receivable -** cash that has not been received by the company yet.

☞ **Accounts payable** - cash that needs to be paid but hasn't yet been paid to other companies.

☞ **'Deferred income tax'** represents a tax dispute, in this case QT Auto paid too much tax and so they are owed $20.

Balance Sheet

What are all these extra accounts?

☞ In the assets side of a balance sheet, you may see something called **'Accounts Receivable'.**

Current Assets	
Cash	54
Accounts receivable	46

☞ This is the account that holds all the revenue the company is due to receive but hasn't received yet.

☞ On the liabilities side there is something similar called **'Accounts Payable'.**

Current Liabilities	
Accounts payable	30

☞ This is similar, but instead looks at what needs to be paid by the company in the future.

This is essentially the basis of accrual accounting.

☞ And, note there is a distinction between actual cash **(cash flows)** and cash due to be received **(receivables)**.

Liability

What is a liability?

Total Assets	=	**Total Liabilities**	+	Total Shareholders' Equity

☞ **Liability** – something a person or company owes, usually a sum of money

Current Liabilities	Non-Current Liabilities
Expected to be concluded in **12 months or less**	Lasts for period of time **greater than 12 months**
Good sign: able to pay liabilities with cash (asset)	Biggest part is generally money used to finance long term operations
e.g., money owed to vendors, utilities, wages payable etc.	Issuing bonds or taking loan from financial institution
	e.g., long term debt, warranty, post-employment benefits

Liability

Let's look at an example

Total Assets = **Total Liabilities** + Total Shareholders' Equity

☞ **Liability** – something a person or company owes, usually a sum of money

Liabilities		
Current Liabilities		
Accounts payable	30	
Short-term loans	40	
Income taxes payable	20	
Salaries and wages	30	
Unearned revenue	30	
Total current liabilities		150
Non-current Liabilities		
Long-term debt	150	
Other	20	
Total non-current liabilities		170
Total Liabilities		**320**

☞ **Income taxes payable** is similar to accounts payable but refers in particular to income tax that needs to be paid.

☞ **Unearned revenue** is 'prepayment' to the company for their goods or services. This is a liability until that good is delivered to the customer.

Shareholders' Equity

What is shareholders' equity?

Total Assets	=	Total Liabilities	+	**Total Shareholders' Equity**

☞ **Shareholders' Equity** – the amount of money that would be returned to a shareholders if all assets were liquidated and all of the company's debt was paid off in case of liquidation

☞ Easy way of finding the value of shareholders' equity : **Total assets – Total Liabilities**

Equity issued to raise capital for a company

Represents investor's stake in company

Capital can be used to purchase assets, invest in projects, and fund operation

Shareholders' Equity

Let's look at an example

Total Assets = Total Liabilities + **Total Shareholders' Equity**

☞ **Shareholders' Equity** – the amount of money that would be returned to a shareholders if all assets were liquidated and all of the company's debt was paid off in case of liquidation

Shareholders' Equity		
Common Stock: 100 shares outstanding	1000	
Retained earnings	30	
Preferred Stock: 20 shares outstanding	20	
Total shareholder's equity		1050.00

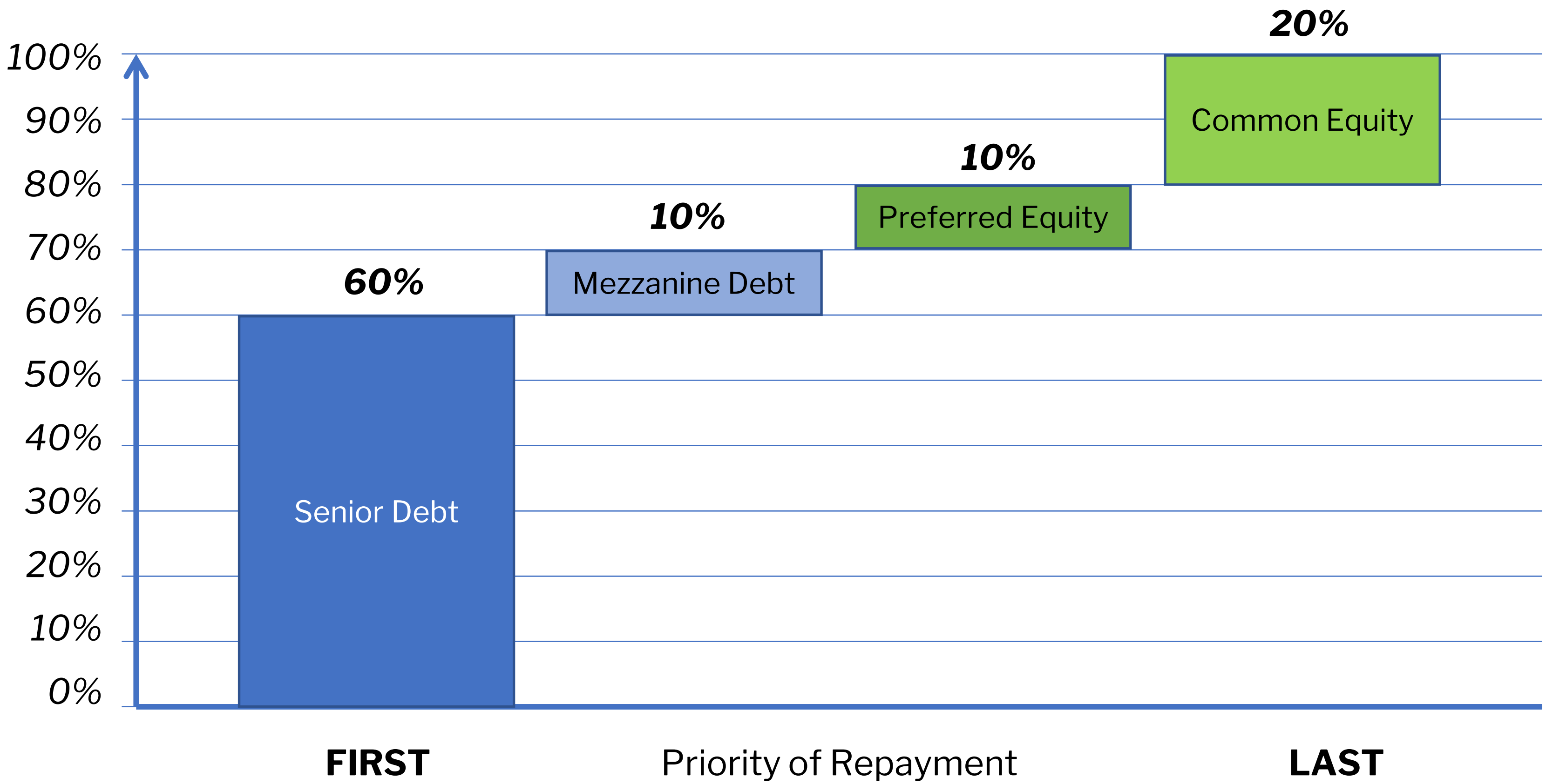
☞ **Common stock** - shares publicly available on the stock market.

☞ **Preferred stock** - shares with no voting rights.

So QT Auto currently has 100 shares owned by the public with a total value of $1000.

Capital Structure

There are different sections to a company's structure.



☞ **Common equity** shareholders are paid out last if a company liquidates its assets. **Preferred equity** shareholders also have priority when it comes to dividend payments.

Balance Sheet

What about the other bits?

☞ There is also another section of shareholder equity.

☞ We also have **retained earnings**. This is extra income the company has generated that they have decided to hold.

Retained Earnings FY1 **+** Net Income FY2 **−** Dividends FY2 **=** Retained Earnings FY2

Retained earnings	30

So if we assume QT Auto had 0 retained earnings in the previous year, we can see the retained earnings on the balance sheet of $30 are as a result of the net income from the income statement $150, and dividends on the cash flow statement $120.

Balance Sheet

What is a Balance Sheet?

☞ A balance sheet is one of the most important documents for a company.

☞ It looks at the value of assets, liabilities and shareholder equity of a company in a set period of time.

☞ A balance sheet must always remain balanced.

☞ Hence it is defined by the following equation:

Assets = Liabilities + Shareholders' Equity

This is because the value of the company (shareholder equity) is the value of the company's assets once all the liabilities have been paid off.

Balance Sheet

Now let's look at an example of a balance sheet.

Balance Sheet

QT Auto

2023 — All values in USD $

Assets		
Current Assets		
Cash	54	
Accounts receivable	46	
Inventory	230	
Short-term investments	400	
Total current assets		730.00
Non- current Assets		
Long-term investments	200	
Property, plant, and equipment	50	
Intangible assets	50	
Total non-current assets		300.00
Other Assets		
Deferred income tax	20	
Other	-	
Total Other Assets		20.00
Total Assets		**1050.00**

Liabilities		
Current Liabilities		
Accounts payable	30	
Short-term loans	40	
Income taxes payable	20	
Salaries and wages	30	
Common stock dividend payable	30	
Total current liabilities		150.00
Non-current Liabilities		
Long-term debt	150	
Other	20	
Total non-current liabilities		170.00
Total Liabilities		**320.00**
Shareholders' Equity		
Common Stock: 100 shares outstanding	1000	
Retained earnings	30	
Preferred Stock: 20 shares outstanding	20	
Total shareholder's equity		1050.00
Total Shareholders' Equity		**1050.00**

Balance Sheet

So what do we know about balance sheets?

- ☞ Balance sheets are the **lifeblood** of companies as they provide critical insight into operations.

- ☞ They are **vital** for potential investors to determine the investment potential of a company.

- ☞ However, some accountants might overvalue the assets of the company, making it look more **favourable.**

- ☞ For this reason a balance sheet should be one of many sources of information you use to **assess** companies.

Let's continue...

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Lecture 1

Accounting Methods and Financial Statements

Income Statement

We shall move onto the income statement first.

☞ The income statement can also be known as a **Profit & Loss statement**.

☞ It measures the **profit** generated by a company in a set period of time.

☞ This statement is critical to the operations of a company, as most of the time it's goal will be to maximise profit.

NOTE Not all companies want to profit-maximise.

☞ Income statements can provide a unique perspective on where a company can increase its revenues and decrease its costs.

Income Statement

Let's look at a real income statement.

Income statement		
QT Auto		
2023		values in $USD
Revenue		
Operating Revenue		
Gross sales	360.00	
Total operating revenue		360.00
Non-operating Revenue		
Interest	15.00	
Rent	25.00	
Total non-operating revenue		40.00
Total Revenue		400.00
Expenses		
Operating Expenses		
Cost of goods	50.00	
Employee Salary	40.00	
Sales returns and allowances	15.00	
Advertising	8.00	
Other	-	
Total operating expenses		113.00

Non-operating Expenses		
Amortisation	5.00	
Bank charges	5.00	
Charitable contributions	1.00	
Commissions	5.00	
Depreciation	4.00	
Insurance	7.00	
Interest	3.00	
Total non-operating expenses		30.00
Total Expenses		143.00
Other Income		
Gains on sale of assets	3.00	
Loss of changing location	100.00	
Total other income		-97.00
Net Income		150

Revenue

How is money coming in recorded?

- ☞ Revenue is a measure of the money **flowing into** the company.

- ☞ This is then divided up into **three** different parts: Operating revenue, non-operating revenue and gains.

Total Revenue = Operating revenue + Non-operating revenue + Gains

- ☞ Operating revenue is revenue gained as a result of **main** business activities.

- ☞ Non-operating revenue is money received from other business activities **not related** to the main business model.

- ☞ Gains are **one-off** sources of revenue for the company.

Revenue

What does this look like on an income statement.

Revenue		
Operating Revenue		
Gross sales	360.00	
Total operating revenue		360.00
Non-operating Revenue		
Interest	15.00	
Rent	25.00	
Total non-operating revenue		40.00
Total Revenue		400.00

Other Income	
Gains on sale of assets	3.00

☞ An example of operating revenue could be the money from sales QT Auto.

☞ **Non-operating revenue** could be rent received from property that the company owns.

☞ **Gains** could be revenue received from selling some company vehicles, for example.

Expenses

What about the other side?

☞ Expenses just record the costs of a company.

☞ Similar to the revenue, this is also recorded in **three** parts: operating expenses, non-operating expenses and losses.

Total Expenses = Operating expenses + Non-operating expenses + Losses

☞ Operating expenses are costs incurred from the **main** business of the company.

☞ Non-operating expenses are those costs **not related** to the main business.

☞ Losses are **one-off** costs that affect the company.

Expenses

How does the expenses section look.

Expenses		
Operating Expenses		
Cost of goods	50.00	
Employee Salary	40.00	
Sales returns and allowances	15.00	
Advertising	8.00	
Other	-	
Total operating expenses		113.00
Non-operating Expenses		
Amortisation	5.00	
Bank charges	5.00	
Charitable contributions	1.00	
Commissions	5.00	
Depreciation	4.00	
Insurance	7.00	
Interest	3.00	
Total non-operating expenses		30.00
Total Expenses		143.00

Loss of changing location	100.00

- ☞ **Operating expenses** could be the cost of coffee beans, employee salary, etc.
- ☞ Here for non-operating expenses these could be interest payments and charitable contributions for example.
- ☞ Lastly, a loss could be as a result of moving location, e.g. the cost of moving machinery to a new factory.

Income Statement

So, should we treat income statements as the gospel?

☞ One could argue income statements are the most important, we want to see if a company is making profit.

Net income = Total Revenue – Total Expenses

☞ However, many **non-profitable** companies are still very valuable.

☞ This is why just looking at an income statement may not be a good sole predictor of future profitability.

☞ Always be careful of the time period when looking at income statements.

☞ Large gains and losses could sway the net income but in the long run have **no effect** on the company's operations.

Cash Flow Statement

What's the point of a cash flow statement?

- ☞ As implied, the cash flow statement records the flow of cash in and out of the company.
- ☞ More importantly, it looks at sources of **cash inflows**, and where cash is being **spent**.
- ☞ Having high levels of cash allow a company to be more fluid in their activities.
- ☞ A cash flow statement is divided into three main areas: Cash flow from **operating** activities, **financing** activities and **investing** activities.
- ☞ The cash flow statement follows the principles of cash-based accounting, as its primary objective is to record the flow of cash.

What does a cash flow statement look like.

Cash Flow Statement

QT Auto

2023	**All values in USD $**
Operating Cash Flow	
Net Earnings	150.00
Depreciation & Amortisation	2.00
Taxes	-137.00
Net Cash from Operations	**15.00**
Investing Cash Flow	
Income from Property Investments	10.00
Purchase of ABC shares	-3.00
Net Cash from Investing	**7.00**

Financing Cash Flow	
Repayment of debt	20.00
Repayment of equity	148.00
Net Cash from Financing	**-168.00**
Net change in Cash	-146.00
Opening Cash Balance	200.00
Closing Cash Balance	**54.00**

Operating Cash Flow

Now let's look at each of these in detail.

- ☞ Operating cash flow records the movement of cash relating to business activities.

- ☞ The main component of operating cash flow will be the net income received in the most recent time period.

- ☞ Other components of operating cash flow could be taxes a company has to pay on its profits.

Operating cash flow = Net income + D&A - Taxes

Operating Cash Flow	
Net Earnings	150.00
Depreciation & Amortisation	2.00
Taxes	-137.00
Net Cash from Operations	**15.00**

Depreciation & Amortisation

Let's look at this in detail.

☞ You may have noticed something called depreciation and amortisation (D & A). This is also recorded on the income statement.

☞ This refers to the loss of value of assets over time and is seen as an expense.

Depreciation – Tangible assets	Amortisation – Intangible assets

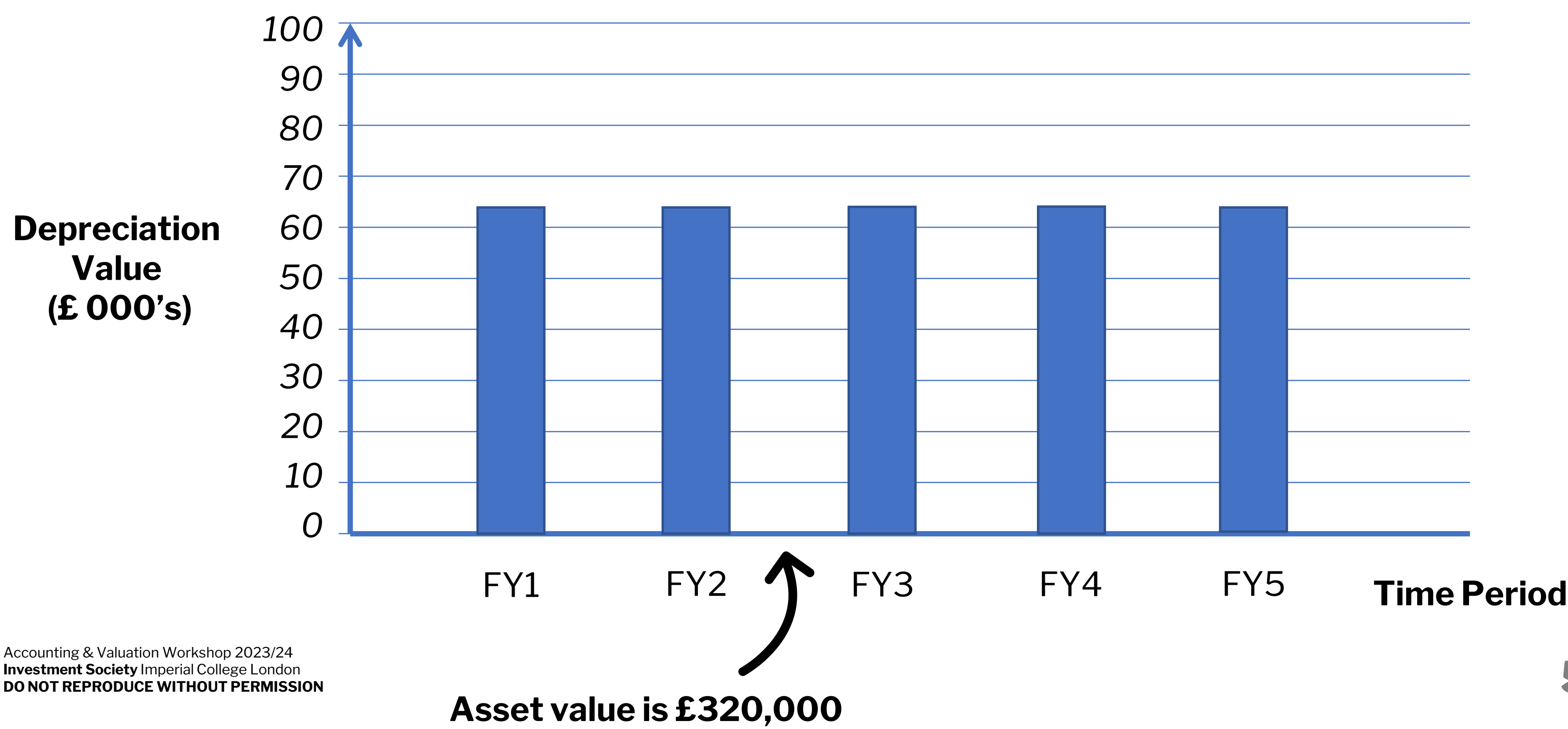
A good example of this accounting trick is Chelsea FC. They have recently bought players for transfer fees way above their usual market value.
However, they have signed these players on contracts far longer than the average of 3 – 5 years.
Hence decreasing their annual amortisation on these players compared to other clubs. Although this caused other clubs to call for UEFA to amend their Financial Fair Play rules.

Depreciation and Amortisation

We have different ways to calculate this.

☞ You can calculate (D & A) assuming a constant rate of loss in the value of your assets:

Annual depreciation = Value of asset / Years of use

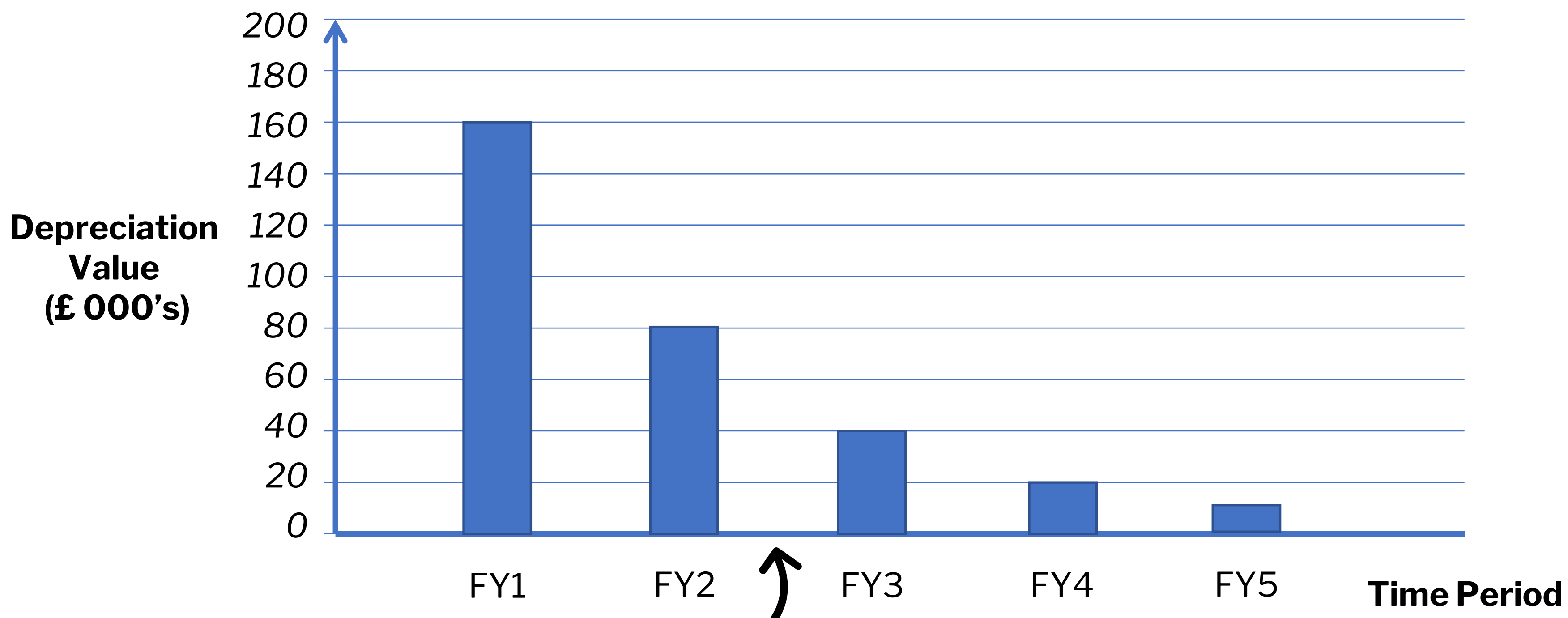


Depreciation and Amortisation

We have different ways to calculate this.

☞ Or your assets could depreciate at a rate proportional to their current value:

Value of Asset (n) = Original value of asset × (1 - rate of depreciation)^n



Same asset value, now with a 50% depreciation rate

Investing Cash Flow

What about investing cash flows?

☞ **Investing** cash flows looks at how much money has been made or spent on investments**.**

☞ For example there could be outflows of money on purchasing an investment, such as stock in another company**.**

☞ Or inflows of cash could come from returns on investments such as rent from investment properties**.**

Investing Cash Flow	
Collection of property investment rent	10.00
Purchase of ABC shares	-3.00
Net Cash from Investing	**7.00**

Financing Cash Flow

Now for the last section.

☞ **Financing** cash flows looks at flows of cash relating to financing business operations**.**

☞ The main two sections of this are financing from debt and financing from equity.

☞ **Debt** financing refers to cash flows as a result of raising debt (taking out loans) in order to achieve business goals.

☞ **Equity** financing is pretty similar, but instead of raising cash through debt, you do it through selling company equity (shares).

Financing Cash Flow	
Repayment of debt	20.00
Repayment of equity (dividends)	148.00
Net Cash from Financing	**-168.00**

Dividends

Let’s look at QT Auto in particular.

☞ Repayment of equity is more commonly known as dividend payments.

☞ This is essentially a 'reward' companies give out for investors holding their shares.

Repayment of equity (dividends)	148.00

In our case QT Auto has paid out $148 in dividends this year, so their dividend per share is $148 / 100 = $1.48. Since their current share price is $1000/100 = $10, we can calculate the dividend yield as $1.48 x 100 / $10 = 14.8%

Annual dividend yield (%) = Annual dividends per share / Share price

☞ Dividends increase the flow of cash out of the company.

Dividends due to be paid are recorded as liabilities in the ‘Liabilities’ section of the **balance sheet**.

Cash Flow Statement

So how useful are cash flow statements?

☞ Cash flow statements are critical to monitoring the amount of **liquid** assets a company owns.

☞ This is important as it shows how easily they can pay their debt or cover **unexpected costs.**

☞ However, a cash flow statement is not particularly useful when trying to value a company.

☞ The amount cash they have adds **no value** to the company as the cash is not being used.

☞ This is why enterprise value deducts cash or cash equivalents, as they are not as adding value to the business

We will delve into **EV** in the next lecture.

How are they related?

How are these documents related?

☞ The balance sheet, income statement and cash flow statement are all inexplicably linked.

☞ This is because any of the values from the income statement can lead to values on the cash flow statement, which then lead to some of the values on the balance sheet.

Net Income	150

☞ **The bottom line** of the income statement is your net income for that period.

Operating Cash Flow	
Net Earnings	150
Depreciation & Amortisation	2.00
Taxes	-137.00

☞ This value should then be replicated in the cash flow statement, in the form of cash from operating cash flows.

☞ You will also note depreciation and amortization are added back in the cash flow statement since it is not a cash expense.

How are they related?

There are even more links.

Net Income	150
Retained earnings	30

☞ Net income should also lead to an increase in retained earnings on the balance sheet.

Balance Sheet FY1 → Cash Flow Statement FY1 → Balance Sheet FY2

☞ Lastly, the cash on a balance sheet should be equal to the cash on the previous period's balance sheet plus change in cash, on the cash flow statement.

☞ It is very **useful** to know these links between the financial statements.

☞ This can be used to check **discrepancies** between other companies' statements, but also financial documents you might have to formulate.

How to put this into practice

How do you actually find the data to do this?

☞ One common struggle when trying to evaluate this data is actually obtaining it.

☞ Not only does the data need to be accurate, but it also needs to be in a format where it can easily be used and manipulated.

☞ Therefore, if you want to try out some of the concepts and ideas discussed in this course, we recommend getting data from the following places:

Yahoo Finance	Standardised format, great for importing into data frames etc.
Capital IQ	Another great source of accurate and timely data, especially for importing into spreadsheets. **(You get free login!)**

Looking into the future…

☞ We will be having a live DCF model conducted by Financial Edge!

☞ Make sure to take advantage of discounts on their courses! **Tuesday, 6^{th} February**

☞ Next week we will be looking at different valuation methods and metrics. **Tuesday, 30^{th} January**

☞ In that session we will look at how we actually use financial statements in practice.

☞ Focus on how this will aid us in finding potentially profitable companies for us to invest in.

Thank you for listening!